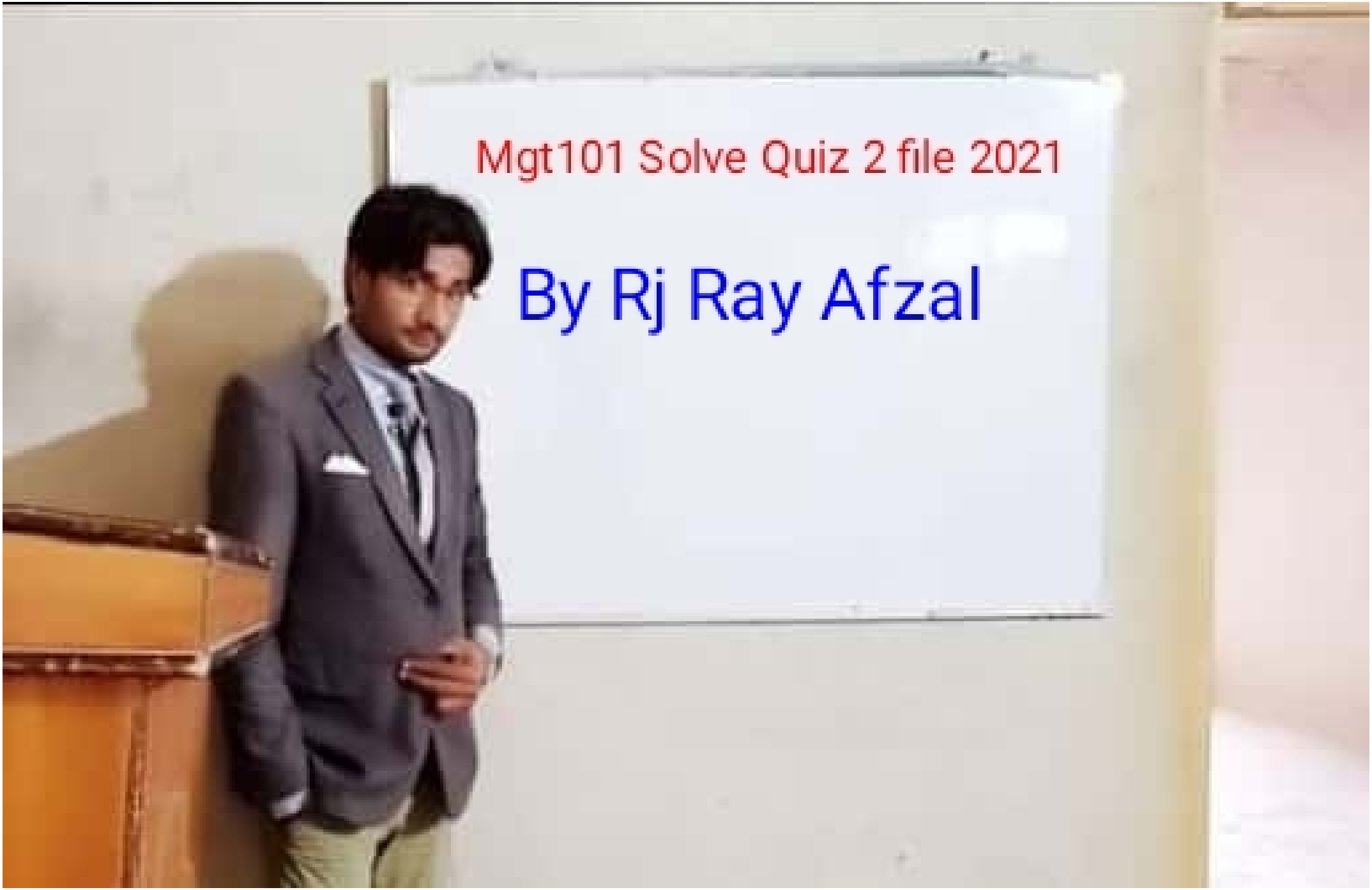


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1. If an asset is exchanged with another asset and commercial substance does not exist, the cost of asset taken through exchange is ___ of asset given up.

a) Carrying value

b) Purchase price

c) Fair value

d) Market value

2. Which of the following is TRUE regarding tangible fixed assets?

a) There is no probability of inflow of economic benefits in future

b) There are held for re-sale in the normal course of trading

c) Their cost can be measured reliability

d) These are to be used for just one year

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3. Which of the following is TRUE regarding intangible fixed assets?

a) All of the given options

b) These are to used over a period of time in excess of one year

c) Their cost can be measured reliably

d) There is probability of inflow of economic benefits in future

4. Rent income account should be debited due to:

a) Balance sheet account

b) Rental income received

c) Rent receivable closing

d) Rent receivable opening

5. Which of the following should be credited in bank column of cash book?

a) Interest in deposit

b) Dividend received on behalf of customer

c) Interest on overdraft

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6. Income received during the period should be mentioned in:

a) Payment side of cash book

b) Income side of balance sheet

c) Receipt side of balance sheet

d) Receipt side of cash book page 170

7. Which of the following is a Tangible fixed asset?

a) All of the given option

b) Car held for rent

c) Outlet where product are displayed

d) Factory Workshop

8. The bank debit the customer's account in pass book in case of:

a) All of the given options

b) Dividend received

c) Interest on Overdraft

d) Interest on Deposit

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8. The bank debit the customer's account in pass book in case of:

a) All of the given options

b) Dividend received

c) Interest on Overdraft

d) Interest on Deposit

9. ___ is posted in debit side of debtor's account

a) Cash purchase

b) Credit sales

c) Cash sales

d) Credit purchase

10. ___ is posted in credit side of debtor's account

a) Cash sales

b) Balance b/f of debtors

c) Balance c/f of debtors

d) Credit sales

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11. Expenses paid but the benefit is not received till the end of the accounting period is treated in balance sheet as:

a) Capital

b) Liability

c) Asset

d) Drawing

12. Expense payable at the end of the period is treated as:

a) Drawings

b) Lability

c) Asset

d) Income

13. Income earned but not received till the end of the accounting period is treated in balance sheet as:

a) Asset

b) Drawing

c) Capital

d) Liability

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14. The favorable balance sheet as per pass book is:

a) Credit balance as per cash book

b) Unfavorable balance as per bank statement

c) Debit balance as per bank statement

d) Credit balance as per bank statement

15. In case of goods sold on credit basis, ___ is credited.

a) Bank account

b) Receivable account

c) Sales account

d) Payable account

16. Final balance of depreciation expense a/c is closed into the ___ as an expense.

a) Cash flow statement

b) Balance sheet

c) Trial balance

d) Income statement

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14. The favorable balance sheet as per pass book is:

a) Credit balance as per cash book

b) Unfavorable balance as per bank statement

c) Debit balance as per bank statement

d) Credit balance as per bank statement

15. In case of goods sold on credit basis, ___ is credited.

a) Bank account

b) Receivable account

c) Sales account

d) Payable account

16. Final balance of depreciation expense a/c is closed into the ___ as an expense.

a) Cash flow statement

b) Balance sheet

c) Trial balance

d) Income statement

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17. Income due at the end of period is treated as:

a) Drawings

b) Assets

c) Expenses

d) Liability

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cost of a plant is Rs 90,000 total estimated output is 30,000 units produced during year 2019 and 7,000. Then calculate depreciation for year 2019 id depreciation rate per unit is Rs 3.

a) Rs 21,000

b) Rs 90,000

c) Rs 180,000

d) Rs 270,000 (Not Sure)

19. Income received but not yet earned till the accounting period is treated in balance sheet as:

a) Asset

b) Drawing

c) Capital

d) Liability

20. At the end of the accounting period, income and expense accounts are closed in:

a) Balance sheet

b) Income statement

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21.The bank credits the customer's in pass book in case of:

a) Interest on Deposits

b) Bank charges

c) Interest on overdraft

d) All of the given options

22. In case of decrease in provision for doubtful debt, ___ is credited.

a) Payable account

b) Bad debts account

c) Provision account

d) Receivable account

23. Which of the following should be debited in bank statement?

a) Amount deposited in bank

b) Interest on deposit

c) Dividend received on behalf of customer

d) Amount withdrawn from bank

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24. Advance receipt at the end of the period is treated as:

a) Drawings

b) Liability

c) Expenses

d) Assets

25. Property Plant and Equipment include

a) Assets used for administrative purposes

b) Assets which are given on rental to others

c) Assets held for production of goods or services

d) All of the given option

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